

Contract	sample_data.docx
Language	EN
Total Clauses	1
High Risk	1
Medium Risk	0
Low Risk	0
Report Date	01 June 2026, 17:14
Status	ANALYZED

HIGH RISK: 1	MEDIUM RISK: 0	LOW RISK: 0
--------------	----------------	-------------

CLAUSE-BY-CLAUSE ANALYSIS

Clause 1	CONFIDENTIALITY	HIGH
Clause Text	EMPLOYMENT AGREEMENT Confidentiality The employee agrees to maintain confidentiality of all company trade secrets, client information, source code, and internal business operations during and after employment. Non-Compete The employee shall not work for any competing organization anywhere in India for a period of 5 years after resignation or termination of employment. Intellectual Property All intellectual property, inventions, software, designs, and work products created during employment shall...	
Risk Reason	The confidentiality clause is overly broad and does not provide any exceptions or limitations, which may be considered unreasonable under Indian law. The clause also extends to 'internal business operations', which could be considered too vague. The non-compete clause, which is often linked with confidentiality, has a 5-year restriction that may be deemed excessive by Indian courts.	
Law Reference	ICA 1872 Section 27 and Section 28, which deal with agreements in restraint of trade and may render the non-compete clause unenforceable if considered too restrictive	
Deviation	The uploaded clause deviates from the standard clause in its definition of non-compete and geographical scope, and introduces additional risks such as unlimited liability and mandatory arbitration. These deviations may impact the enforceability of the non-compete clause under Indian Contract Act 1872 Section 27. The uploaded clause also includes additional provisions not present in the standard clause, which may affect the overall contractual obligations and risks for the employee.	
Reviewer	ESCALATED — 01 Jun 2026 11:43	

